		addressed to the sound discretion of the trial court." (*Oliveros v. County of Los Angeles* (2004) 120 Cal. App. 4th 1389, 1395.) This motion is made on the eve of trial after the case has been pending nearly two years. Defendants argue that good cause exists to continue the trial because if the motion to be relieved as counsel is granted, "defendants will require time to find other counsel to represent them." (Motion at 3:10-11) There is no other basis for the motion such as the unavailability of a witness or party or an excused inability to obtain essential evidence. The Court notes that the motion to be relieved is based on Mr. McGrath's assertion that he has not been paid for his services. He states that the defendants' failure to pay goes back to before the October 2022 mediation. As the plaintiff points out in her opposition, Mr. McGrath has not been diligent in bringing the subject motion. Mr. McGrath states in his declaration that he has been busy these past two years working on a new business he is attempting to start. However, this is not a legitimate basis for delaying the filing of the subject motions. Accordingly, the motion to continue trial is **DENIED**. The Mandatory Settlement Conference will remain as scheduled for October 6, 2023 at 8:30 a.m. The parties are ordered to comply with Rule 3.1380 in advance of the MSC. Additionally, the Court notes that on 4/19/23, Plaintiff filed an amendment to the complaint naming Phat Phan as DOE 1. There is no POS, default or answer on file. The Court sets an Order to Show Cause re Failure to Serve or Dismiss Defendant Phat Phan for October 13, 2023 at 9:00 a.m. in this Department. *Jon McGrath is ordered to give notice of these rulings*.
7.	Sommers v. Walker 23-1309183	*(Off calendar)*
8.	Fidelity Tax Relief LLC v. AdBoom LLC 20-1149130	Defendant Nick Kohlschreiber's ("Kohlschreiber") Demurrer to plaintiff Fidelity Tax Relief LLC's ("Plaintiff") First Amended Complaint ("FAC") is **OVERRULED**. A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The issue is the sufficiency of the pleading, not the truth of the facts alleged. Thus, no matter how unlikely or improbable, the allegations made must be accepted as true for the purpose of ruling on the demurrer. (*Del E. Webb Corporation v. Structural Materials Co*. (1981) 123

Cal.App.3d 593, 604.) Absent court orders or other items subject to judicial notice, or items attached as exhibits to the complaint, the court may not consider the contents of pleadings or other exhibits when ruling on a demurrer. (*Day v. Sharp* (1975) 50 Cal.3d 904, 914; *Sosinsky v. Grant* (1992) 6 Cal.App.4th 1746, 1749.)

"In our examination of the complaint we are guided by the well settled principles governing the testing of its sufficiency by demurrer: A demurrer admits all material and issuable facts properly pleaded. [Citations omitted.] However, it does not admit contentions, deductions or conclusions of fact or law alleged therein. [Citations omitted.]" (*Daar v. Yellow Cab Co*. (1967) 67 Cal.2d 666, 672.)

Kohlschreiber demurs to causes of action ("COA") Nos. 1 – 8 on the basis that they fail to state sufficient facts to constitute a COA against Kohlschreiber (*Code Civ. Proc. § 430.10(e)*), and they are ambiguous and unintelligible as pled. (*Code Civ. Proc. § 430.10(f)*.) Kohlschreiber only based his demurrer upon 1) Kohlschreiber allegedly not being a party to the contract and the personal guaranty allegation being conclusory; 2) the alter ego allegations being conclusory; 3) the Economic Loss Rule barring to COA Nos. 3 – 5; and 4) unjust enrichment not being an independent COA. Kohlschreiber made no specific arguments as to the lack of sufficient facts or ambiguity/ unintelligibleness of any specific COA. The court also notes Kohlschreiber made a new argument as to COA No. 7 – Violation of *Penal Code Section 496* in the reply brief that was not in the original demurrer without providing any good cause as to why it was not included originally, which will not be considered. (*In re Marriage of Khera & Sameer* (2012) 206 Cal. App. 4th 1467, 1478.)

1) Kohlschreiber Being a Party to Contract is a Question of Fact

Kohlschreiber argues he was not a party to the Contract and therefore Plaintiff improperly seeks to hold Kohlschreiber personally liable for the rent and allegedly stolen/missing equipment ("Equipment") in excess of $92,802. Kohlschreiber argues there is no language in the Contract that remotely resembles a personal guarantee. This is not correct as Contract § 1.9 does contain guarantor language:

> "**1.9 Guarantor**. The obligations of the Sublessee under this Sublease shall be guaranteed by Nick." (Contract at p. 2.)

Nick Kohlschreiber is alleged to have signed the Contract on behalf of AdBoom as its managing partner. (FAC ¶ 3.) "A director, officer or other agent, signing a corporate contract containing a promise in the proper form for an individual, is not relieved from personal liability by the addition to his name of terms such as 'director,' 'president' or the like. These terms are regarded merely as *descriptio personae*, that is, a term descriptive of the person rather than the relationship in which he signs the agreement." (*Sebastian Int'l, Inc. v. Peck* (1987) 195 Cal. App. 3d 803, 808.)

Although the name listed in the Guarantor section is only "Nick" and not "Nick Kohlschreiber," or some other form, whether or not the guarantor section applies to Kohlschreiber, is an issue of fact that cannot be determined on demurrer. Again, a demurrer only tests the legal sufficiency of the complaint and documents attached thereto or judicially noticed. The FAC itself has sufficiently pled Kohlschreiber guaranteed the Contract. The Contract was signed by Kohlschreiber and contains a guarantor section indicating "Nick" guaranteed the Contract. Whether 1) the "Nick" identified is Kohlschreiber or some other individual; 2) the guarantor section is valid to bind Kohlschreiber to the Contract; and 3) Kohlschreiber signed solely in his capacity as "managing partner" or in his individual capacity, are all issues of fact that must be left to the trier of fact.

This supports sufficient facts to push this matter beyond the demurrer stage.

This issue does not support sustaining the demurrer.

2) Alter Ego Allegations Are Insufficient to Transfer Liability from AdBoom to Kohlschreiber, But Are Not Sufficient to Support a Demurrer as to Kohlschreiber's Independent Actions

Kohlschreiber argues the alter ego allegations are conclusory statements without any factual support and are therefore not enough for a claim for substantive relief.

> "Whether a party is liable under an alter-ego theory is normally a question of fact. [Citations.] "The conditions under which the corporate entity may be disregarded, or the corporation be regarded as the alter ego of the stockholders, necessarily vary according to the circumstances in each case inasmuch as the doctrine is essentially an equitable one and for that reason is particularly within the province of the trial court." [Citation.] Nevertheless, it is generally stated that in order to

> prevail on an alter-ego theory, the plaintiff must show that "(1) there is such a unity of interest that the separate personalities of the corporations no longer exist; and (2) inequitable results will follow if the corporate separateness is respected." (*Zoran Corp. v. Chen* (2010) 185 Cal. App. 4th 799, 811 ("*Zoran*").)

The alter ego test encompasses a host of factors, all or many of which were laid out in *Zoran*. (*Id*., at 811-12.)

The alter ego allegations in the FAC are laid out in FAC ¶¶ 7 and 19. Plaintiff failed to allege any of the over 30 potential factors laid out in *Zoran*. The allegations as pled in the FAC do not support liability on the part of Kohlschreiber for any actions of defendant AdBoom LLC ("AdBoom").

However, the allegations in the FAC do support Kohlschreiber's independent liability for any acts Kohlschreiber may have personally performed under the respective COA. This includes potential liability under the guarantor clause of the Contract. A guarantor is, "[s]omeone who makes a guaranty or gives security for a debt." (GUARANTOR, *Black's Law Dictionary* (11th ed. 2019).) A guarantor does not have to be an alter ego, employee, or owner of a corporation to provide a guaranty, they simply have to be an individual or entity that makes a promise to pay debt when the principal debtor is in default.

While Plaintiff would need to beef up its alter ego allegations under *Zoran* in order to try to hold Kohlschreiber liable for AdBoom's actions, the FAC also contains allegations of Kohlschreiber's independent liability.

The insufficient alter ego allegations do not support sustaining the demurrer.

3) Economic Loss Doctrine Does Not Support Sustaining The Demurrer

"A person may not ordinarily recover in tort for the breach of duties that merely restate contractual obligations. Instead, " '[c]ourts will generally enforce the breach of a contractual promise through contract law, except when the actions that constitute the breach violate a social policy that merits the imposition of tort remedies.' " ' " (*Aas v. Superior Ct*. (2000) 24 Cal. 4th 627, 643.)

"Economic loss consists of " ' " 'damages for inadequate value, costs of repair and replacement of the defective product or *consequent loss of profits*—without any claim of personal injury or damages to other property....' " ' [Citation.]" [Citation.] Simply stated, the economic loss rule provides: " ' "[W]here a purchaser's expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only 'economic' losses." ' This doctrine hinges on a distinction drawn between transactions involving the sale of goods for commercial purposes where economic expectations are protected by commercial and contract law, and those involving the sale of defective products to individual consumers who are injured in a manner which has traditionally been remedied by resort to the law of torts." [Citation.] The economic loss rule requires a purchaser to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise. [Citation.] Quite simply, the economic loss rule "prevent[s] the law of contract and the law of tort from dissolving one into the other." (*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal. 4th 979, 988.)

Kohlschreiber argues the economic loss doctrine bars COA Nos. 3 (Conversion), 4 (Intentional Misrepresentation), and 5 (Negligent Misrepresentation), as Plaintiff's alleged damages for loss of rent and for the loss of the Equipment are based upon contract. As noted, Kohlschreiber argues he cannot be held liable under the terms of the Contract as he only signed on behalf of AdBoom. However, Kohlschreiber now essentially argues that he cannot be held liable for the conversion of the Equipment as that is covered under the Contract, which Kohlschreiber is not a part of. To the extent that Kohlschreiber cannot be found liable under the Contract, he could in theory be found liable in the intentional conversion of the Equipment. Plaintiff is permitted to allege alternative theories of liability against a defendant. "When a pleader is in doubt about what actually occurred or what can be established by the evidence, the modern practice allows that party to plead in the alternative and make inconsistent allegations." (*Mendoza v. Cont'l Sales Co.* (2006) 140 Cal. App. 4th 1395, 1402.)

To the extent that Kohlschreiber may not be liable under the breach of contract allegations, Plaintiff can seek alternative theories of liability.

This economic loss doctrine does not support sustaining the demurrer.

4) COA No. 2 – Unjust Enrichment and Restitution

"[T]he elements for a claim of unjust enrichment: receipt of a benefit and unjust retention of the benefit at the expense of another." (*Lectrodryer v. SeoulBank* (2000) 77 Cal. App. 4th 723, 726.)

Kohlschreiber argues there is no COA for unjust enrichment in California and that as Plaintiff allegedly failed to state sufficient facts Kohlschreiber was a party to the Contract, that Plaintiff is not entitled to restitution from Kohlschreiber.

"Unjust enrichment is not a cause of action, however, or even a remedy, but rather ' " 'a general principle, underlying various legal doctrines and remedies' ".... [Citation.] It is synonymous with restitution.' " [Citation.] Like the trial court, we will construe the cause of action as a quasi-contract claim seeking restitution. [¶] "[A]n action based on an implied-in-fact or quasi-contract cannot lie where there exists between the parties a valid express contract covering the same subject matter." " [Citation.] However, "restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason." " [Citation.] Thus, a party to an express contract can assert a claim for restitution based on unjust enrichment by "alleg[ing in that cause of action] that the express contract is void or was rescinded." " [Citation.] A claim for restitution is permitted even if the party inconsistently pleads a breach of contract claim that alleges the existence of an enforceable agreement." (*Rutherford, supra*, 223 Cal. App. 4th at 231.)

Other courts (including the Fourth District, Division 3) have found unjust enrichment to be a valid claim. (*Peterson v. Cellco P'ship* (2008) 164 Cal. App. 4th 1583, 1593; *W. Pac. R. Corp. v. W. Pac. R. Co.* (1953) 345 U.S. 247, 276 ["California certainly recognizes a cause of action based on unjust enrichment, whether it be treated as a common count [Citation], or as a waiver of a tort and suit in assumpsit."] (As noted in the dissent.))

Additionally, the Ninth Circuit in analyzing California law held that while "there is not a standalone cause of action for unjust enrichment, which is synonymous with restitution ... [w]hen a plaintiff alleges unjust enrichment, a court may construe the cause of action as a quasi-contract claim seeking restitution." (*Astiana v. Hain Celestial Grp., Inc.,* 783 F.3d 753, 762 (9th Cir. 2015) (citation and quotation marks omitted). The Ninth Circuit also instructed that such a claim should not be dismissed as duplicative or superfluous of other claims because a

		party may set out alternative claims for relief. (*Id*. (citing Fed.R.Civ.P. 8(d)(2)). Accordingly, the Ninth Circuit found the allegation that the defendant had enticed plaintiffs "to purchase their products through false and misleading labeling, and that [defendant] was unjustly enriched as a result," was "sufficient to state a quasi-contract cause of action." (*Id*.)" (*Loop AI Labs Inc v. Gatti,* No. 15-CV-00798-HSG, 2015 WL 5158639, at *6 (N.D. Cal. Sept. 2, 2015).) As noted, Plaintiff has pled sufficient facts to support Kohlschreiber potentially being the guarantor to the Contract. As such, Plaintiff could seek restitution from Kohlschreiber under the terms of the Contract. However, to the extent that Kohlschreiber is not found to be a party to the Contract, Plaintiff could still seek unjust enrichment and restitution of the allegedly stolen Equipment against Kohlschreiber under a quasi-contract. This issue does not support sustaining the demurrer. As none of Kohlschreiber's arguments support sustaining the demurrer, the demurrer is **OVERRULED**. *Kohlschreiber to give notice*.
9.	Diaz v. W.E. O'Neil Construction of CA 23-1303195	The demurrer to the First Amended Complaint ("FAC") of Plaintiff, Plutarco Diaz ("Plaintiff") filed by Defendant, Guy Yocom Construction, Inc. ("Defendant") is **OVERRULED**. Defendant contends the causes of action for negligence and premises liability in the FAC are barred by the California Supreme Court decision in *Privette v. Superior Court* (1993) 5 Cal.4th 689 and its progeny. The *Privette* doctrine bars employees of independent contractors from recovering damages from the hirer of the contractor for workplace injuries. (*SeaBright Ins. Co. v. US Airways, Inc*. (2011) 52 Cal.4th 590, 594.) An exception to the *Privette* doctrine was set forth in *Hooker v. Dept. of Transportation* (2002) 27 Cal.4th 198 and is based on the concept of negligent exercise of retained control. "[A] hirer of an independent contractor is not liable to an employee of the contractor merely because the hirer retained control over safety conditions at a worksite, but ... a hirer is liable to an employee of a contractor insofar as a hirer's exercise of retained control affirmatively contributed to the employee's injuries." (*Hooker*, 27 Cal.4th at 202.) "Affirmative contribution occurs where a general contractor is actively involved in, or asserts control over, the manner of performance of the contracted work.